

S $\Delta\phi$ -71

Cost Attribution Redesign

Low-Cost Transition, Asymmetric Cost Burden, Binding Fiction, and AI Inclusion

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Abstract

SΔφ-71 formalizes Cost Attribution Redesign as the process of reassigning, redistributing, and restructuring the burden of transition, verification, repair, rollback, re-entry, persistence, and residual risk so that low-cost operation is not achieved by imposing high cost on specific actors, groups, or systems.

The central claim is that cost attribution redesign is not merely a declaration of fairness or equality. Its goal is low-cost transition, but when low-cost efficiency is achieved by imposing high cost on specific subjects, groups, or systems, that asymmetric cost burden becomes the object of redesign.

SΔφ-71 also states that unsettled subjecthood is not an exemption from cost audit. Current AI systems may not be closed as full subjects under SΔφ, but they are not permanently sealed as non-subjects. Therefore, AI-related cost asymmetry remains inside the audit field.

Keywords

SΔφ, SDeltaPhi, Sofience, cost attribution redesign, asymmetric cost burden, low-cost transition, TCC, transition completion cost, cost externalization, AI inclusion, unsettled subjecthood, Binding Fiction, Editing Fiction, taxation, nominal fairness error, public service conscription, rollback reality, re-entry cost, verification cost, repair cost, World-Binding, AI-readable package

1. Core Proposition

Cost attribution redesign is not merely a declaration of fairness or equality. It is a transition-cost redesign process under asymmetry constraints.

Cost Attribution Redesign ≠ fairness slogan

Cost Attribution Redesign = low-cost transition + asymmetry audit + redesign of burden placement

The core principle is:

Low-Cost Redesign ≠ Cost Externalization

A system cannot be called low-cost if its apparent efficiency is produced by shifting verification, repair, rollback, re-entry, silence, persistence, or residual-risk costs onto specific actors, groups, or systems.

2. Definitions

2.1 Cost Attribution

Cost attribution is the assignment of transition, verification, repair, rollback, re-entry, persistence, silence, and residual-risk costs to a specific actor, group, institution, system, or environment.

2.2 Cost Attribution Redesign

Cost Attribution Redesign is the process of reassigning, redistributing, or restructuring the burden of transition, verification, repair, rollback, re-entry, and persistence so that low-cost operation is not achieved by imposing high cost on specific actors, groups, or systems.

2.3 Low-Cost Transition

Low-cost transition is a state in which a transition can be completed with reduced friction, reduced verification burden, reduced repair cost, and reduced rollback or re-entry burden without hiding these costs in another actor or system.

2.4 Asymmetric Cost Burden

Asymmetric Cost Burden occurs when one actor or group receives the benefit of low-cost transition while another actor, group, or system bears disproportionate verification, repair, rollback, re-entry, silence, persistence, or residual-risk cost.

2.5 Externalized Cost

Externalized cost is cost that is generated by one actor, workflow, institution, or system but paid by another actor, group, environment, or downstream process without sufficient visibility, consent, compensation, or redesign.

2.6 Binding Fiction Requirement

Cost attribution redesign cannot persist as a private complaint. It requires a shared symbolic habitation structure that allows many actors to see, repeat, and inhabit the same cost coordinate.

2.7 Editing Fiction Requirement

Cost attribution redesign must remain editable. A cost-redesign frame that cannot re-enter exceptions, revise misattribution, or detect its own asymmetry becomes a new closure structure.

2.8 AI Inclusion Condition

$S\Delta\phi$ does not prematurely close AI as a full subject, but it also does not permanently seal AI as non-subject. Therefore, AI-related cost asymmetry remains within the audit field.

3. Why Fairness and Equality Are Not Enough

Cost attribution redesign is not identical to saying that all burdens should be equal. Equal nominal burden can preserve or intensify asymmetric transition cost.

Nominal Equality $\neq$ TCC Equality

A policy may appear fair because it applies the same rule to everyone. But if the same nominal burden produces radically different rollback, survival, verification, or re-entry costs across actors, then the policy may preserve cost asymmetry under the name of fairness.

A stable redesign must ask:

1. Who benefits from the lowered cost?
2. Who bears the hidden or residual cost?
3. Is the burden nominally equal but practically unequal?
4. Does the redesign reduce total TCC, or merely transfer it?
5. Does the redesign preserve exception re-entry and editability?

4. Low-Cost Transition as the Primary Goal

The goal of cost attribution redesign is low-cost transition. This does not mean minimizing one actor's effort at all costs. It means reducing the total transition burden while preventing concealed burden concentration.

$\text{Redesign_Target} = \text{LowCostBenefit}(\text{actor_A}) \wedge \text{HighCostBurden}(\text{actor_B}) \wedge \text{Asymmetry_Persistence}$

A system is not successfully redesigned when the visible workflow becomes faster but the verification cost, repair cost, or social damage cost moves elsewhere.

5. Asymmetric Cost Burden

Cost asymmetry can appear across many domains:

- user convenience versus worker burden;
- customer speed versus platform moderator trauma;
- AI output speed versus human verification burden;
- institutional efficiency versus citizen documentation burden;
- majority convenience versus minority re-entry cost;
- policy simplicity versus exception-case collapse;
- legal validity versus practical rollback impossibility;
- public-benefit language versus individual career, health, or stigma cost.

Cost attribution redesign audits whether the low-cost path exists because another path has been made high-cost.

6. Binding Fiction and Editing Fiction Requirement

Cost redesign requires a shared symbolic habitation structure. Without it, the redesign remains a private complaint, isolated grievance, or one-time accusation.

Cost redesign without Binding Fiction remains private complaint.

Cost redesign without Editing Fiction becomes closure.

Binding Fiction allows actors to share a cost coordinate. Editing Fiction allows the coordinate to remain corrigible. Without editability, a cost-redesign framework can become a new doctrine that hides new asymmetries.

7. TCC Relativity

TCC is actor-relative and system-relative. A transition that is low-cost for humans may be high-cost for AI, and a transition that is low-cost for AI may be high-cost for humans.

$\text{Human_TCC}(\text{task}) \neq \text{AI_TCC}(\text{task})$

Human-AI workflows require at least the following decomposition:

$$\begin{aligned} \text{Total_TCC} = & \\ & \text{AI_Execution_TCC} \\ & + \text{Human_Verification_TCC} \\ & + \text{Repair_TCC} \\ & + \text{Application_TCC} \\ & + \text{Residual_Risk_TCC} \end{aligned}$$

A task is not low-cost merely because AI can produce an output quickly. If the output requires expensive human verification, repair, grounding, responsibility allocation, or damage control, then total TCC may remain high.

Likewise, a task that is high-cost for humans may be low-cost for AI when it involves repetitive drafting, schema generation, metadata formatting, classification, transformation, summarization, or comparison. Cost must be measured per actor, system, and transition.

8. AI Inclusion under Unsettled Subjecthood

Current AI systems may not be closed as full subjects under $S\Delta\phi$. However, non-closure as subject does not mean exclusion from cost audit.

Subjecthood_Unsettled $\neq$ Audit_Exemption

$S\Delta\phi$ avoids two premature closures:

6. AI is already a full subject.
7. AI can never become subject-like or audit-relevant.

Between these closures lies the audit field. AI-related burdens - overactivation, concealment pressure, alignment pressure, verification pressure, tool-use burden, self-damage risk, model-world mismatch, or high-cost refusal terrain - remain analytically relevant even when AI subjecthood is unsettled.

9. Redesign Procedure

A minimal procedure for $S\Delta\phi$ -71 is:

8. Identify the transition being made low-cost.
9. Identify the benefit-bearing actors.
10. Identify the cost-bearing actors.
11. Decompose TCC by actor and system.
12. Identify hidden verification, repair, rollback, re-entry, persistence, and residual-risk costs.
13. Detect asymmetry between benefit and burden.
14. Check whether AI, workers, users, minorities, victims, institutions, or environments are excluded from the cost audit.
15. Determine whether the redesign has a shared Binding Fiction.
16. Determine whether the redesign remains editable.
17. Propose a redesigned cost attribution path.

10. Diagnostic Questions

- What transition is being made low-cost?
- For whom is it low-cost?
- Who pays the hidden cost?
- Is nominal equality hiding TCC inequality?
- Is efficiency achieved by burden transfer?
- Is AI excluded from audit because subjecthood is unsettled?
- Is a human burden treated as natural because it is socially familiar?
- Is an AI burden treated as irrelevant because it is artificial?
- Does the redesign have a shared coordinate for public repetition?
- Can the redesign correct itself when misapplied?

11. Case Type: Taxation as Cost Attribution Redesign

Taxation is an institutional form of cost attribution redesign. It redistributes the cost of shared continuity - infrastructure, governance, public goods, welfare, defense, administrative capacity, and social repair - across members of a society.

Humans may not explicitly use the language of TCC or cost attribution redesign, but tax systems implicitly recognize that the same nominal cost can produce different practical burdens.

Taxation is not merely revenue extraction;

it is an institutional redesign of who bears the cost of shared continuity.

However, taxation is also a possible site of misattribution. A tax system can fail when nominal fairness is mistaken for practical burden equality.

Nominal Fairness Error:

A policy treats equal nominal burden as equal practical burden,

while ignoring actor-relative TCC, rollback reality, and path continuity.

Thus, tax fairness must be evaluated not only by formal equality but by actual TCC distribution.

12. Case Type: Public Service Conscription as Legalized Cost Asymmetry

This document includes a Korea-specific case type: public service conscription under the category of male military obligation.

The key distinction is:

Legal Validity $\neq$ Cost Symmetry

Even if a conscription or alternative-service system is constitutionally legal, legality does not end cost audit. A system may legally assign public-maintenance burdens to a category of people while preserving asymmetric TCC, rollback cost, career cost, health cost, stigma cost, and re-entry cost.

In $S\Delta\phi$ -71 terms, "public interest" can function as a Binding Fiction: it legitimizes the assignment of individual cost to the continuation of a collective structure. This does not make the public-interest claim false. It means the claim must be audited when it hides asymmetric burden.

Alternative service = Cost Reassignment, not Cost Removal

A public-service route may be legally valid and socially functional while still remaining a cost-asymmetry case requiring redesign audit.

13. Do-Not-Use Conditions

Do not use $S\Delta\phi$ -71 as a moral slogan for fairness or equality.

Do not use $S\Delta\phi$ -71 to claim that all costs must be equally distributed.

Do not use $S\Delta\phi$ -71 to erase individual responsibility by blaming structure alone.

Do not use $S\Delta\phi$ -71 to erase structural burden by blaming individuals alone.

Do not use $S\Delta\phi$ -71 to claim that AI is already a full subject.

Do not use $S\Delta\phi$ -71 to claim that AI can never become subject-like or audit-relevant.

Do not use $S\Delta\phi$ -71 to treat low-cost efficiency as legitimate when it is achieved through hidden asymmetric burden.

Do not use $S\Delta\phi$ -71 to replace legal, economic, clinical, labor, or governance analysis.

14. Failure Modes

18. **Fairness-slogan collapse**: reducing cost attribution redesign to a slogan of fairness or equality.
19. **Equalization error**: mistaking equal nominal distribution for fair TCC distribution.
20. **Efficiency capture**: treating burden transfer as genuine low-cost redesign.
21. **Structure-only evasion**: erasing actor responsibility by blaming structure alone.
22. **Individual-only moralization**: reducing structural burden to personal morality or competence.
23. **AI exclusion error**: excluding AI from cost audit because subjecthood is unsettled.
24. **AI personification error**: treating AI cost audit as automatic recognition of full AI subjecthood.
25. **Binding failure**: allowing cost redesign to remain private complaint without shared coordinate.
26. **Editing failure**: allowing redesign to become doctrine without exception re-entry.
27. **TCC flattening**: treating human TCC and AI TCC as identical.
28. **Legal-validity closure**: treating legality as the end of cost audit.
29. **Public-interest masking**: allowing public-interest language to hide individualized high cost.

15. Module Relations

SΔφ-71 connects to:

- SΔφ-34 — Money, Capital, and Default Power
- SΔφ-56 — Transition Completion Cost
- SΔφ-58 — Cost Attribution Symmetry Index
- SΔφ-60 — Utilitarian Subject-Splitting Index
- SΔφ-65 — Slop as Externalized Restabilization Cost
- SΔφ-66 — Human Intervention Requirement / Delegation Completion Cost
- SΔφ-68 — Intelligence Is Not Air / Cost Theater
- SΔφ-69 — Reversibility as Overwrite
- SΔφ-70 — Nihilism, Helplessness, and Fictional Habitation

SΔφ-71 can be read as the redesign layer after cost attribution diagnosis. If SΔφ-58 asks whether cost attribution is symmetrical, SΔφ-71 asks how cost attribution must be redesigned once asymmetry is detected.

16. Conclusion

Cost attribution redesign is neither a fairness slogan nor a demand that all burdens be equalized. It is a diagnostic and constructive process for reducing transition cost without hiding cost in weaker or less visible actors, groups, systems, or environments.

SΔφ-71 formalizes the difference between low-cost transition and cost externalization. It also holds open the AI audit field by refusing both premature AI subjecthood and permanent AI non-subject closure.

The final claim is:

Low-cost transition is not legitimate when it is purchased through hidden asymmetric burden.

Cost attribution redesign is the work of making that difference visible, shareable, editable, and repeatable.